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Illustration 3

From the following information, calculate the amount of depreciation and rate of depreciation under straight line method.

Purchase price of machine ` 2,00,000

Expenses to be capitalised ` 50,000

Estimated residual value ` 15,000

Expected useful life 5 years

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{2,50,000 - 15,000}{5} = \frac{2,35,000}{5} = \text{` } 47,000 \text{ per year}$$

$$\text{Rate of depreciation} = \frac{\text{Amount of depreciation per year}}{\text{Original cost}} \times 100$$

$$= \frac{47,000}{2,50,000} \times 100 = 18.8\%$$

Note:

Original cost = Purchase price + Expenses to be capitalised

= 2,00,000 + 50,000 = ` 2,50,000

Illustration 4

Find out the rate of depreciation under straight line method from the following details:

Original cost of the asset = ` 10,000

Estimated life of the asset = 10 years

Estimated scrap value at the end = ` 2,000

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{10,000 - 2,000}{10} = \frac{8,000}{10} = \text{` } 800 \text{ per year}$$

$$\text{Rate of depreciation} = \frac{\text{Amount of depreciation per year}}{\text{Original cost}} \times 100$$

$$= \frac{800}{10,000} \times 100 = 8\%$$